

► **US TARIFFS** may have a modest impact on India's GDP growth, but ongoing export promotion efforts, strengthening brand-building efforts and active diplomatic engagement are expected to help cushion the impact and sustain investor and business confidence, says **Sanjay Nayar**, President of the Associated Chambers of Commerce and Industry of India, and Founder and Chairman of Sorin Investment Fund. He tells *BT* that the domestic economy remains the primary engine of growth. Edited excerpts:

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How will the US tariffs impact the Indian economy?

India's economy remains robust and resilient even though uncertainty has increased due to global headwinds. Economic growth remains stronger than that of many peers, underpinned by strong domestic demand, fiscal prudence and supportive monetary policy. The International Monetary Fund has upgraded India's GDP forecasts for FY26 and FY27. Favourable monsoons are further bolstering agricultural and rural performance.

The combined 50% US tariff on Indian imports is concerning for key sectors like garments, gems and jewelry, textiles, auto parts, leather, chemicals and ceramics, all heavily exposed to US markets. Exporters may face reduced price competitiveness, margin squeeze and potential order diversion to rivals like Vietnam and Mexico, which could shave off GDP growth estimates by 20 basis points. While the tariffs may have a modest impact on GDP growth, export promotion efforts, strengthening brand-building efforts and active diplomatic engagement may help cushion the impact and sustain investor and business confidence.



INDIA'S ECONOMY REMAINS ROBUST AND RESILIENT

Sanjay Nayar, President Assocham and Founder and Chairman of Sorin Investment Fund, on private consumption recovery

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